EXPLAINER

European Defence Financing Explained

How the €800 billion is raised, where it flows, why Ireland's EU Presidency sits at the centre of the plumbing, and what it means for a non-aligned member state.

Security Ireland

IN BRIEF

Europe has committed €800 billion to defence. The political debates are well documented, but what is almost entirely absent from public discussion—particularly in Ireland—is the operational mechanics: how the money is actually raised, who creates the instruments, how capital markets absorb the debt, and how the money flows from bond auction to procurement contract.

This matters for Ireland because it holds the EU Council Presidency (July–December 2026) during which the implementing rules for SAFE (€150 billion in EU-backed defence loans), EDIP (€1.5 billion in grants), and the defence-related amendments to fiscal rules are being finalised. Ireland does not need to build tanks to be affected by European defence financing. It needs to understand the plumbing—because the plumbing determines who pays, who benefits, and what Ireland's Presidency can shape.

This explainer traces the defence finance chain end to end: from political commitment to bond auction to procurement contract to delivered capability.

Figure 1: The defence finance chain. Each link involves different actors, different legal bases, and different timelines. The bottleneck is rarely the first link.

Where the €800 billion comes from

The €800 billion headline figure is not a single pool of money. It is an aggregation of at least six distinct financing channels, each created by different institutions, funded through different mechanisms, and subject to different constraints.

National sovereign borrowing remains the largest source. When a member state increases its defence budget, the additional spending is typically financed through general government borrowing—the same mechanism that funds healthcare, pensions, and infrastructure. The national escape clause of the *Stability and Growth Pact* provides regulatory permission to borrow more, but it does not change what capital markets are willing to lend.

EU-level instruments provide a second, smaller channel. SAFE offers €150 billion in EU-backed loans. The European Defence Fund and EDIP provide roughly €10 billion in grants. The EIB has opened defence lending at €3.5 billion per year.

Germany's debt brake reform is the single largest national commitment—approximately €200 billion in additional borrowing capacity through the mid-2030s. This is permanent and constitutionally embedded, but it applies only to Germany.

Private capital mobilisation is the most speculative channel. The Commission has proposed guarantees that could leverage up to €200 billion. But European defence companies face structural barriers: ESG exclusions, fragmented regulation across twenty-seven jurisdictions, and investor caution about government procurement timelines.

Figure 2: Approximate composition of Europe's defence financing through 2030. National sovereign borrowing dominates. Private capital remains speculative.

WHY THIS MATTERS FOR IRELAND

Ireland does not issue defence bonds and its defence budget (€1.5 billion in 2026) is small by European standards. But the rules governing EU-level instruments—SAFE, EDIP, the European Defence Fund—are being finalised during Ireland's Presidency. The terms on which these instruments operate—who qualifies, what counts as joint procurement, how PESCO participation translates into preferential access—are Council decisions that Ireland will chair. Ireland's leverage is procedural, not fiscal.

How sovereign borrowing works

The mechanics of sovereign borrowing for defence are identical to borrowing for any other government function. Each member state has a national debt management office responsible for issuing government bonds. Germany's Finanzagentur issues Bunds, Bobls, and Schätze across maturities from six months to thirty years; France's Agence France Trésor issues OATs; Italy's Department of Treasury issues BTPs.

These agencies conduct regular auctions—typically weekly or fortnightly—through a system of primary dealers: large banks authorised to bid in government bond auctions and to make secondary markets. A German Bund auction, for example, involves roughly thirty primary dealers (Deutsche Bank, BNP Paribas, JP Morgan, and others) submitting competitive bids. The Bundesbank acts as fiscal agent, managing settlement through the Euroclear system.

Defence spending is never earmarked at the point of issuance. When the Finanzagentur auctions a ten-year Bund, the proceeds enter the general federal budget, and the Bundestag's annual budget law determines how much is allocated to defence versus healthcare, education, or pensions. There is no 'defence bond'—the fungibility of sovereign debt is a feature, not a bug. It means defence spending competes with every other fiscal priority for the same pool of borrowed money.

This is why sovereign creditworthiness is the binding constraint, not the escape clause. Germany can unlock €400 billion because its debt-to-GDP ratio is sixty-two per cent and its Bunds are the benchmark risk-free asset in Europe. Italy cannot replicate this because its debt stands at a hundred and thirty-eight per cent of GDP, its BTPs trade at 130 basis points above Bunds, and additional issuance risks triggering investor concern about fiscal sustainability.

> ***The escape clause changes what governments are allowed to borrow. It does not change what markets are willing to lend.***

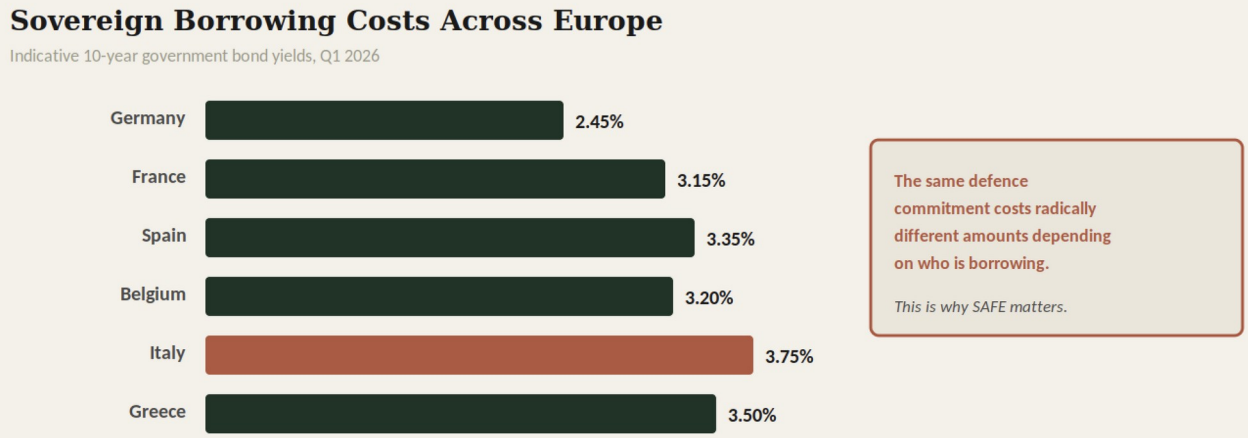

Figure 3: Sovereign borrowing costs across Europe. The same defence commitment costs radically different amounts to finance depending on who is borrowing.

How EU-level instruments are created

EU-level defence financing requires a legislative process fundamentally different from national borrowing. Each instrument needs a legal basis in the EU treaties, a proposal from the European Commission, and approval through either the ordinary legislative procedure or emergency provisions.

SAFE illustrates the full chain. In March 2025, the Commission proposed a regulation under Article 122 TFEU—the emergency provisions—to create a €150 billion loan facility. The Commission was authorised to borrow on capital markets on behalf of the EU, using the EU budget as a guarantee. The Council adopted the regulation by qualified majority in May 2025, bypassing the Parliament under the emergency legal basis. Total elapsed time from proposal to adoption: approximately ten weeks.

Once authorised, the Commission's Directorate-General for Budget manages issuance and the EU issues bonds through a diversified funding strategy of syndicated placements (where a group of banks places bonds with investors) and regular auctions via Euroclear. EU bonds carry a double-A credit rating, which is below Germany's triple-A but above Italy's, and trade at spreads of roughly fifteen to thirty basis points above Bunds.

The proceeds are disbursed to member states that submit national defence investment plans, which must demonstrate joint procurement: countries buying equipment with at least one other EU member receive preferential terms. The Commission assesses plans, approves disbursement tranches, and monitors implementation—a process modelled directly on the NGEU recovery fund.

Critically, SAFE loans are debt on member states' balance sheets, meaning that the EU borrows cheaply, but the member state must repay. For Italy, SAFE offers a marginal advantage of perhaps fifty basis points below sovereign rates, but the liability is real. SAFE reduces the cost of borrowing; it does not eliminate the need to repay.

IRELAND'S PRESIDENCY ROLE

The implementing rules for SAFE disbursement—including how joint procurement is defined, what role PESCO participation plays in qualifying for preferential terms, and how national defence investment plans are assessed—are Council-level decisions being negotiated during Ireland's Presidency. Security Ireland's Presidency Action Handbook recommends that Ireland table a Council recommendation explicitly linking PESCO project participation to SAFE preferential terms. Ireland's seven PESCO projects (all in maritime, subsea, and cyber) position it to argue credibly that domain-specific contribution should qualify for the same access as full-spectrum participants.

How Each Financing Instrument Works

Different creators, different mechanisms, different constraints

Instrument	Created By	Funded Through	Size	Debt On
National Sovereign	National debt offices	Bond auctions	E400bn+	National balance sheet
SAFE	European Commission	EU bond issuance	E150bn	National balance sheet
EDF + EDIP	European Commission	EU budget (grants)	E10bn	No repayment
EIB Defence	European Investment Bank	EIB bond issuance	E3.5bn/yr	Borrowing entity
Private Capital	Market-driven	Equity, corporate bonds	*Speculative*	Companies

Figure 4: The mechanics of each financing instrument differ radically—in who creates them, how they are funded, who receives the money, and on what terms.

The impact on capital markets

European defence rearmament is adding tens of billions of euros per year to an already enormous sovereign bond market in which EU-27 governments collectively issue roughly four trillion euros annually. Defence-related borrowing—perhaps €400–500 billion cumulatively through 2030—represents a meaningful, but not overwhelming, increment relative to total issuance.

The more consequential question is not the total volume of new issuance, but where it appears, which sovereigns issue it, at what maturities, and at what credit risk.

Countries already facing elevated borrowing costs—Italy, France, Spain, Belgium—are being asked to increase issuance precisely when fiscal sustainability concerns are most acute. For these issuers, incremental defence borrowing risks *widening* sovereign spreads, *increasing* marginal funding costs, and *raising* the sovereign risk premium embedded in all domestic credit markets. A 25–50 basis point widening on €2–3 trillion of outstanding debt is not trivial; it compounds rapidly through unmanageable debt service.

This creates a potential feedback loop.

If investors begin to worry about a country's rising debt, they demand higher interest rates to lend to it. Higher interest rates mean the government spends more each year just servicing its existing debt; and as debt service rises, the room left in the budget for everything else—including defence—shrinks. That, in turn, can deepen market concerns about long-term sustainability.

The EU's own borrowing works differently. Since the pandemic recovery programme (NGEU), EU-issued bonds have become a recognised and trusted asset in global markets. Large institutions—pension funds, insurance companies, central banks—are comfortable holding them. The new SAFE bonds are therefore likely to find buyers without difficulty. The real risk here is political rather than financial. EU bonds are priced on the assumption that member states stand behind them collectively. If that political commitment were ever questioned, the value of EU bonds would adjust quickly.

There is also a maturity issue. Governments do not borrow only for one year; they issue bonds that last ten, twenty, even thirty years. If much of the new defence borrowing is long-term, markets must absorb large quantities of long-dated debt at a time when the European Central Bank is no longer buying bonds as aggressively as it once did. Private investors must take up more of the supply, and they will demand a price that reflects risk.

Further, government bonds are not just investments; they are also used as collateral in the financial system. Banks and funds use them in short-term funding markets. If more debt is issued by countries already perceived as risky, those bonds may be treated as less desirable collateral during

periods of stress, which can affect funding conditions more broadly.

The investor base matters too, as most European government bonds are held by large institutional investors operating under ESG frameworks. Sovereign defence borrowing itself is not screened out, but investment into defence companies often is. That creates a real imbalance: governments may borrow heavily to fund defence procurement, while private capital remains cautious about directly financing defence manufacturers. Public borrowing increases, but private capital does not necessarily scale alongside it.

For investors, European rearmament therefore has three practical implications. Borrowing costs may diverge further between stronger and weaker sovereigns. Long-term bond supply will increase. And capital allocation pressures may intensify within industrial sectors, particularly aerospace and defence.

None of this destabilises European capital markets on its own, but it shifts incentives and pricing at the margin, especially if defence spending becomes a permanent structural feature of budgets rather than a temporary response to crisis. The broader point is that defence finance does not sit outside the financial system; it reshapes borrowing patterns, interest rate dynamics, investor mandates, and sovereign risk perception.

Rearmament is not only a geopolitical event. It is a capital markets event.

Germany: the full chain

Germany offers the clearest case study of how defence finance works end to end, as it has undertaken the most ambitious single-country reform through a constitutional amendment which permanently exempts defence spending above one per cent of GDP from the debt brake.

Step 1: Constitutional authorisation. In spring 2025, the Bundestag passed an amendment to Article 143h of the Basic Law with the required two-thirds supermajority. The Bundesrat (representing state governments) consented to the amendment which creates permanent borrowing authority for defence spending above one per cent of GDP—estimated at roughly €200 billion in cumulative capacity through the mid-2030s, on top of the €100 billion Sondervermögen (special fund) established in 2022.

Step 2: Annual budget allocation. Each fiscal year, the Federal Ministry of Finance (BMF) proposes a budget law, and the Bundestag's Budget Committee negotiates the defence envelope with the Ministry of Defence (BMVg). Germany's defence budget has risen from €53 billion in 2024 to approximately €75–80 billion, with further increases projected. The infrastructure fund is managed separately under its own governance.

Step 3: Bond issuance. The Finanzagentur issues German government securities across the maturity spectrum—roughly €450 billion in gross issuance annually. Auctions follow a regular calendar published in advance whereby primary dealers submit competitive bids and the Bundesbank acts as fiscal agent. None of this issuance is labelled as defence-related; it enters the general federal budget.

Step 4: Procurement contract. The Federal Office for Equipment, Information Technology and In-Service Support (BAAINBw) manages defence procurement. Major programmes currently in execution include thirty-five F-35A fighters from Lockheed Martin (€10 billion), 123 Leopard 2A8 tanks from KNDS (€3.2 billion), Boxer infantry fighting vehicles from ARTEC, and the Arrow 3 missile defence system from Israel Aerospace Industries. Each programme follows its own contracting timeline, from requirement definition through tender to contract award.

Step 5: Delivery. This is where the timeline stretches. The first Leopard 2A8s are scheduled for 2026; the first F-35As for 2027; Eurofighter Tranche 5 aircraft may not arrive until the 2030s; FCAS—the Franco-German-Spanish sixth-generation fighter—has an initial operating capability target in the 2040s. The money authorised in 2025 will be producing capabilities for decades.

Figure 5: Germany's defence finance chain traced end to end. Each stage involves different institutions, different legal bases, and different timelines.

How the money reaches procurement

Between a disbursed euro and an operational weapons system sits the procurement process.

At the national level, each country follows different procedures: France's DGA manages a state-directed system, Germany's BAAINBw runs competitive tenders, and the UK's DE&S operates yet another model. Each has different timelines, contracting norms, and industry relationships.

For EU-funded joint procurement, the process adds multiple further layers, as member states must agree on common requirements, which are notoriously difficult when twenty-seven countries have different doctrines, fleets, and industrial interests.

They must identify a lead nation, negotiate workshare, and execute contracts satisfying both EU disbursement conditions and national procurement law. OCCAR manages several multinational programmes, and the European Defence Agency facilitates coordination, but neither can override national decisions.

The result is that procurement—not financing—is the true bottleneck. Money can flow from capital markets to national treasuries in weeks, but signing a multinational procurement contract can take months to years, and delivering the equipment takes years to decades. Germany's experience illustrates this vividly: the debt brake reform unlocked hundreds of billions in a single legislative act, but the F-35s will not arrive until 2027 and FCAS will not fly until the 2040s.

> ***Money can flow from capital markets to treasuries in weeks, but turning that money into signed procurement contracts takes months to years, and turning contracts into delivered equipment takes years to decades. The European plumbing determines the pace.***

IRELAND'S PROCUREMENT CONTEXT

Ireland's defence procurement operates at a different scale—the Naval Service's fleet renewal programme, the Air Corps fixed-wing replacement, and C4ISR investments are the primary capital programmes. But the same logic applies: procurement, not financing, is the binding constraint. The Commission on the Defence Forces (2022) identified procurement reform as a critical enabler. EU joint procurement frameworks being shaped during the Presidency could offer Ireland access to programmes and supply chains that would be uneconomic to pursue nationally.

The institutional constraint

The mechanics described in this explainer are the binding constraints on European rearmament—not the political will, which already exists, and not the money, which can be raised. The constraints are institutional: the speed at which instruments can be legislated, the terms on which capital markets absorb the issuance, the capacity of procurement systems to convert money into contracts, and the willingness of private investors to hold defence-related assets.

Europe does not have one defence finance system, it has twenty-eight: one for each member state plus the EU's own instruments. These operate under different legal frameworks, access capital markets on different terms, and connect to procurement processes of vastly different speed. The €800 billion headline aggregates all of them, but the money flows through channels of radically different capacity.

Germany can mobilise €400 billion because it reformed its constitution, has manageable debt, and operates capital markets of extraordinary depth and liquidity. Italy, France, and Spain must navigate high existing debt, higher borrowing costs, and fiscal rules that constrain manoeuvre. The Baltic states have fiscal space but tiny economies. The EU's own instruments provide a bridge, but not a permanent architecture.

The lesson from Germany's experience is both encouraging and sobering. Encouraging, because it demonstrates that a major European democracy can enact permanent fiscal reform for defence in a matter of weeks when the political will exists. Sobering, because even with unlimited fiscal authority, the procurement pipeline converts money into defence capabilities at a pace measured in years and decades, not months.

Until Europe builds a unified defence finance architecture that effectively pools risk, equalises borrowing costs, and connects capital markets directly to procurement at continental scale, the plumbing will remain the binding constraint on whether the political will to rearm converts into the industrial reality of rearmament.

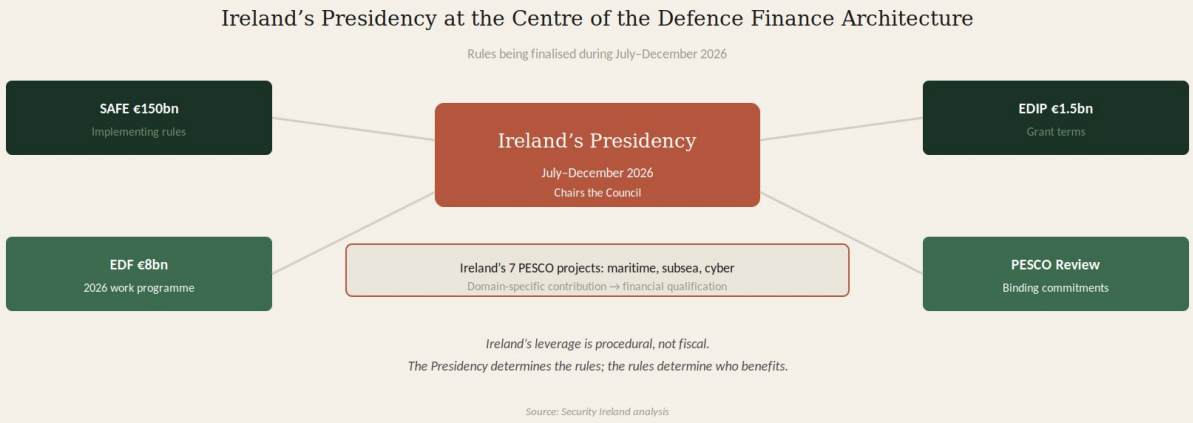

Figure 6: Ireland's Presidency sits at the centre of four interlocking funding instruments. The rules being finalised during July–December 2026 determine who benefits.

WHY THIS MATTERS NOW

European defence financing is transitioning from national sovereignty to a hybrid architecture—part national, part EU, part market-driven. The rules being written during Ireland's Presidency will determine how that architecture works for the next decade.

For policymakers: the Presidency is the window to shape how SAFE, EDIP, and EDF reward domain-specific contribution and whether PESCO participation becomes a financial qualification.

For investors: the capital markets implications are significant—sovereign spread dynamics, long-duration bond supply, ESG-driven allocation constraints, and the emergence of EU defence bonds as an asset class.

For the public: understanding how defence money is raised and spent is essential to evaluating whether the €800 billion commitment will produce real capability or remain an aspirational figure. The plumbing determines the pace.

SERIES CONTEXT

This explainer complements the Security Ireland Presidency paper series, which examines Ireland's role during its July–December 2026 EU Council Presidency. Related publications include *the PESCO Explained* explainer, the *Presidency Desk Briefs* (specific policy actions across four domains), and the *Presidency Action Handbook*.

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